

UVIG

Sector Report: Healthcare

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Sector Overview

The healthcare sector is composed of two categories, the first being the healthcare equipment and service industry which focuses on medical infrastructure, supplies, and R&D. The second is the pharmaceuticals, biotechnology, and services industry, which includes clinical testing and R&D on organisms and drugs. The sector is highly regulated by governmental bodies due to profit incentives. Moreover, healthcare has high barriers to entry given high costs, licensing, and specialization requirements.ⁱ

Market Size & Segmentation

As of 2025, the global healthcare sector is valued at around \$10.71 billion USDⁱⁱ, and has an estimated CAGR of 7.91% throughout 2025 to 2034.ⁱⁱⁱ Canada’s healthcare sector is worth \$300 billion CAD, approximately representing 12.7% of its total GDP.^{iv} Their CAGR is estimated to be 8.73% between 2023 and 2033.^v Its largest market is within North America, namely with the USA, where 10% of the S&P500’s market capitalization comes from healthcare companies.^{vi}

Top Competitors

- **UnitedHealth Group Inc:** A health insurance and services MNE that offers consulting through data analytics to medical providers under Optum.^{vii}
- **Johnson & Johnson:** Produces and owns pharmaceutical goods and services such as Tylenol along with medical technologies.^{viii}
- **Roche Holding:** Swiss biotechnology company that focuses on developing medicine for oncology, immunotherapy, and other medical practices.^{ix}
- **Medtronic Plc:** Creates therapies and technologies for healthcare services.^x

Market Drivers & Trends

Healthcare Trends

A notable trend in the healthcare industry is doctors, nurses, and other medical professionals utilizing AI to aid in diagnosing patients, recording and summarize clinical appointments, and tracking medicine intakes. Although this technology offers rapid and standardized communication amongst workers, there are concerns about false information and health alerts.^{xi} AI has also become a prominent tool in clinical research, giving insights and secondary opinions through dataset summaries and analyses.^{xii} Another important trend has been using immersive technology (AR and VR) in medical education. Since 2024, the healthcare VR market has been valued at over \$4 billion USD and helps patients manage mental health conditions such as depression and anxiety, which are predicted to be the most common conditions by 2030. AR has become a popular tool for students to visualize surgery procedures and track symptoms, whilst VR has helped 30% of patients recover from muscle pain.^{xiii} Lastly, the UN predicts that by 2050, over a third of the population will be over 60 years old. This trend will cause the strain on healthcare systems with insufficient levels of professionals, but it will boost the demand for services and stimulate drug and pharmaceutical research along with medical technology advancement.^{xiv}

Macroeconomic & Policy Drivers

The healthcare sector is subject to high levels of government interventions and influences; therefore, the demand is highly inelastic and uncertain.^{xv} When government tax revenue and labor force participation rise, government healthcare spending tends to increase. However, when inflation is high, the cost for health-related goods and services remains stable or decreases because of inelasticity.^{xvi} Geopolitics can interfere through tariffs, politics and trade wars, by impacting supply chains, and the sourcing of materials.^{xvii}

Figure 1: Sector Breakdown

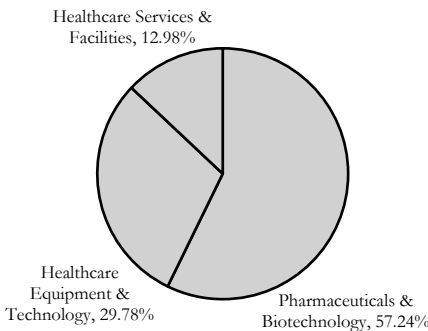


Figure 2: Sector Size & Growth

Sector Size (\$T)
10.71 USD
Sector CAGR Trailing 10 Years
7.91%

Figure 3: Top Competitors

UnitedHealth Group inc. (NYSE: UNH)
Johnson & Johnson (NYSE: JNJ)
Roche Holding (SWX: ROG)
Medtronic plc (NYSE: MDT)

Technology & Consumer Trends

The healthcare sector is comprised of ten sub-industries: healthcare equipment, healthcare supplies, healthcare distributors, healthcare services, healthcare facilities, managed healthcare, healthcare technology, biotechnology, pharmaceuticals, and life sciences tools & services. These sub-industries can be broken down in business-to-business (B2B) and business-to-consumer (B2C) business models. Consumers for the B2B businesses including facilities such as hospitals, clinics, and biotech companies. The typical B2C consumer depends on the service or product. Proposed drug pricing reforms from the US's Most Favoured Nation executive pricing will decrease drug prices in the US but increase them abroad.^{xxviii} Consumers now spend more on healthcare than ever, but are unsatisfied, seeking robust innovation and tailored care.^{xix} Recent US political turmoil have worried investors, as there is a belief that restrictive regulatory changes will be largely absorbed by state and local administrations, and that certain regulatory adjustments could lead to less patent scrutiny ultimately fostering innovation.^{xx}

Emerging Themes

The state of healthcare innovation lies in AI. Current AI applications help streamline healthcare operations, from answering phones to analyzing population trends.^{xxi} Further implementation of AI offers the opportunity for greater prevention, personalization, and more varied points of care using advanced technologies. A McKinsey survey found 44% of respondents trust healthcare services with their private data.^{xxii} However, healthcare organizations have largely avoided using personal data to optimize service. This highlights an opportunity for organizations to differentiate themselves by using data-driven insights to develop digital health tools and personalized care models, satiating consumer demand and potentially reducing impending price hikes from aforementioned macroeconomic tumult.

Capital Markets & M&A Activity

Recent M&A Transactions

The healthcare sector is traditionally M&A heavy, where economies of scale play an important role in helping companies manage the frequently changing regulatory landscape, and larger companies look to supplement weak R&D by acquiring existing patents (often referred to as a “string of pearls” strategy^{xxiii}). On September 4th, Edwards Lifesciences Corp of the US finished its two-stage acquisition of Vectorious Medical Technologies Ltd, buying the remaining 48% stake with USD 497 million cash, as Edwards continues its expansion into the medical device space. Looking forward, tighter margins and greater uncertainty stemming from the ongoing tariff wars, ever-changing FDA regulations, and the proposed drug pricing reforms stemming from the Most Favoured Nation pricing executive order will necessitate better valuation scrutiny and robust scenario planning from M&A actors.^{xxiv}

Deal Drivers

In January 2025, there was much optimism for healthcare sector M&A activity following the announced USD 14.6 billion acquisition of Intra-Cellular Therapies Inc by Johnson & Johnson, which has since faded. From first half of 2024 to the first half of 2025, global healthcare sector deal volumes and values figures saw a 22% and 25% decline respectively.^{xxv} Firms specializing in AI-driven solutions are poised for significant growth, making these firms particularly attractive to larger players looking to offset rising costs with AI-driven solutions.^{xxvi} Consolidation remains a key strategy for healthcare systems firms looking to offset rising costs.^{xxvii}

Capital Markets Activity

Through the first half of 2025, the healthcare sector maintained a steady deal count compared to the previous year, but saw a decrease in average deal size, with the sector making up just 11% of the global IPO market.^{xxviii} Private equity actors are increasingly focussing on B2B healthcare segments rather than direct-to-consumer businesses, as these are less affected by inflation and consumer spending volatility.^{xxix} US-based medical equipment and hospital product supplier Medline plans to file for IPO in late October, with a price yet to be determined. Backed by PE partners Blackstone, Carlyle, and Hellman & Friedman, the offering is estimated to generate USD 5 billion, valuing the medical supplies company at over USD 50 billion, and making it the largest US listing this year.^{xxx} Goldman Sachs and Morgan Stanley are reportedly leading the offering.

Investment Outlook & Implications

Growth Forecast

The healthcare sector is expected to expand steadily, with U.S. EBITDA projected to grow at a 7% CAGR from \$676 billion in 2023 to \$987 billion in 2028.^{xxxix} Growth will be fueled by demographic expansion, an ageing population, and adoption of AI and digitization.^{xxxix} Nonetheless, risks remain, including a projected shortage of 10 million healthcare workers by 2030^{xxxix} and U.S. policy uncertainty around drug pricing, Medicaid cuts, and reduced medical research funding.^{xxxix}

Sector Risks:

- **Cybersecurity:** Breaches and ransomware disrupt healthcare operations.
- **Regulatory and policy risk:** Constantly changing laws impact compliance.
- **Workforce shortages:** Lack of staff strains patient care delivery.
- **High costs:** Rising expenses reduce margins and affordability.

Investor Sentiment

Investor sentiment in healthcare is cautiously optimistic. The sector’s defensive nature attracts investors seeking stability as stock markets hover near all-time highs, while growth drivers like aging populations, digitization, and a more health-conscious society support long-term potential. Despite growth potential, investor concerns remain due to the sector’s underperformance and variation in results across sub-sectors. Factors such as rising costs, regulatory ambiguity, and variable profitability continue to weigh on sentiment.^{xxxix}

Public Equity Landscape

Johnson & Johnson (NYSE: JNJ)

Johnson & Johnson (JNJ) is a multinational American healthcare company operating through two segments: Innovative Medicine and MedTech. JNJ has delivered strong financial results, beating recent estimates, and carries a consensus “Buy” rating from analysts with modest upside.^{xxxix} Key risks include regulatory changes, biosimilar competition, and ongoing Talcum powder lawsuits.^{xxxix} JNJ trades at a trailing P/E of 19.7x with a market cap of \$430 billion USD.^{xxxix}

Roche Holding (SWX: ROG)

Roche is a Swiss multinational healthcare company with two divisions: Pharmaceuticals along with innovative medicines and diagnostics, offering in-vitro testing solutions. With a strong international presence, Roche’s growth is driven by innovative drug pipelines and expanding diagnostic demand. However, patent expirations and biosimilar competition pose risks. The company trades at a trailing P/E 21.4, with a market cap of 285 billion USD.^{xxxix}

Figure 3: Telehealth Growth Forecast

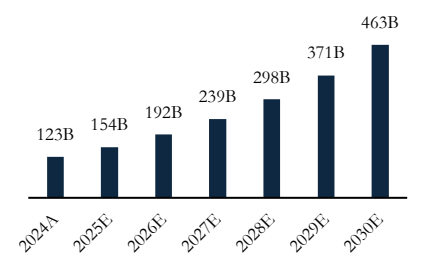


Figure 4: S&P 500 vs Healthcare LTM

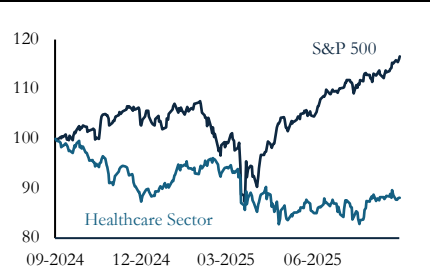


Figure 5: Global Median Age

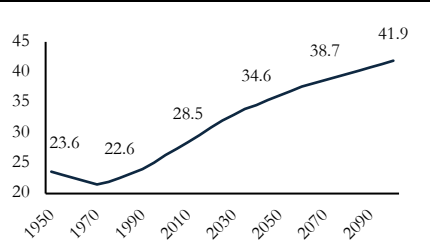


Figure 6: JNJ LTM Stock Chart



Figure 7: ROG LTM Stock Chart



UnitedHealth Group Inc (NYSE: UNH)

UnitedHealth Group Inc (UNH) is an American healthcare company operating through two segments: UnitedHealthcare, providing health insurance, and Optum, offering healthcare services and technology solutions.^{xlvi} The stock has fallen 30% YTD after its CEO’s abrupt resignation, revised profit forecasts^{xl}, and a Medicare fraud investigation.^{xli} Despite these headwinds, Berkshire Hathaway recently acquired a \$1.6 billion stake in UNH, viewing it as undervalued with strong long-term upside potential.^{xlii} UNH currently trades at a trailing P/E of 14.4x and has a market cap of \$306 billion USD.^{xliii}

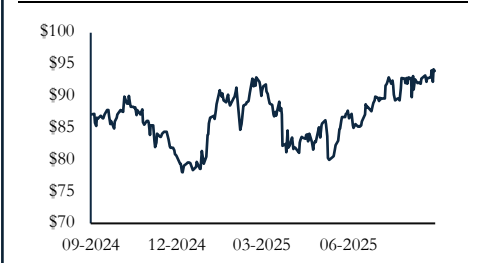
Medtronic plc (NYSE: MDT)

Medtronic (MDT) is an American-Irish global medical technology leader, operating across four segments: Cardiovascular, Neuroscience, Medical Surgical, and Diabetes^{xliv}. Recent stock gains are driven by strong Cardiovascular growth from adoption of Pulsed-Field Ablation (PFA) systems^{xlv} and double-digit expansion in Diabetes through advanced insulin pumps and continuous glucose monitors^{xlvi}. Key risks include foreign exchange headwinds, and cybersecurity vulnerabilities^{xlvii}. MDT trades at a trailing P/E of 26.1x with a market capitalization of \$122 billion USD.^{xlviii}

Figure 8: UNH LTM Stock Chart



Figure 9: MDT LTM Stock Chart



Valuation Summary

Billions USD Except Per Share Amounts									
Company	Ticker	Price	Market Cap. (\$B)	Enterprise Value (\$B)	P/E	Enterprise Value		EBITDA Margin (%)	Debt EBITDA
						EBIT	EBITDA		
Diversified Healthcare									
Johnson & Johnson	NYSE: JNJ	\$177.73	\$430	\$462	19.0x	19.7x	14.9x	34%	1.3x
Pfizer	NYSE: PFE	\$23.60	\$135	\$184	12.5x	10.1x	7.3x	39%	2.5x
Novartis	NYSE: NVS	\$122.23	\$237	\$263	17.4x	14.3x	10.7x	45%	1.3x
Merck & Co	NYSE: MRK	\$77.60	\$195	\$222	11.9x	9.6x	8.0x	44%	1.3x
Pharma & Diagnostics									
Roche	XSWX: RO	\$318.81	\$256	\$285	21.4x	11.8x	10.2x	39%	1.4x
Thermo Fischer Scientific	NYSE: TMO	\$459.22	\$174	\$203	26.4x	25.8x	18.9x	25%	3.3x
Sanofi	NASDAQ: SNY	\$45.07	\$111	\$118	16.8x	11.5x	8.1x	31%	1.8x
Amgen	NASDAQ: AMGN	\$285.41	\$154	\$203	23.3x	20.9x	13.3x	44%	3.7x
Health Insurance									
UnitedHealth	NYSE: UNH	\$336.69	\$306	\$368	14.4x	11.9x	10.5x	8%	2.3x
Elevance Health	NYSE: ELV	\$313.71	\$71	\$93	13.2x	10.6x	9.0x	5%	2.9x
Humana	NYSE: HUM	\$252.66	\$31	\$39	19.4x	11.1x	8.8x	4%	2.8x
Cigna	NYSE: CI	\$304.03	\$82	\$107	15.1x	10.9x	8.6x	5%	2.5x
Medical Technology									
Medtronic	NYSE: MDT	\$95.08	\$122	\$143	26.1x	20.7x	14.5x	29%	2.9x
Abbott Labs	NYSE: ABT	\$134.17	\$235	\$241	16.8x	31.0x	22.1x	25%	1.2x
Boston Scientific	NYSE: BSX	\$97.83	\$146	\$157	58.5x	40.8x	30.4x	28%	2.2x
Stryker	NYSE: SYK	\$376.83	\$146	\$160	49.9x	29.4x	24.5x	27%	2.5x
25th Percentile					14.9x	11.0x	8.8x	21%	1.4x
Mean					22.6x	18.1x	13.7x	27%	2.2x
Median					18.2x	13.1x	10.6x	28%	2.4x
75th Percentile					24.0x	22.1x	15.9x	39%	2.9x

Sources

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- ⁱⁱ [Global stock market capitalization as of 2025, by sector](#)
- ⁱⁱⁱ [Consumer Healthcare Market Size, Share, and Trends 2025 to 2034](#)
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- ^v [Canada Healthcare Services Market Size, Share, and COVID-19 Impact Analysis](#)
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- ^{vii} [Priorities for advancing a modern health system](#)
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- ^x [Company Highlights](#)
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- ^{xii} [How Artificial Intelligence Is Transforming Medical Research and Clinical Trials.](#)
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- ^{xv} [Healthcare Sector](#)
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- ^{xlvi} [Medtronic to split off its fast-growing diabetes business to unlock its value](#)
- ^{xlvii} [FDA warns of cybersecurity risk with certain Medtronic insulin pumps](#)